

on the stocks to buy for the long term. He too was no expert and had no pretensions of being one. But from doing trades for the big boys, he had a reasonable understanding of companies.

Once in a while, he would try to pass off some theory of theirs as his own. He would not say that it was his original thought, but he would not attribute it to anybody either. And I would try to needle him while keeping a straight face.

‘Does Nemishbhai think it can happen?’ I asked at the end of one such spiel.

‘Who said Nemishbhai said that?’ GB snapped.

‘I thought . . . ’

‘Don’t always assume things . . . I have some ideas of my own too,’ he said, somewhat testily.

The year 1997 began on a promising note.

The market steadily rose in the run-up to the Budget.

Finance Minister Palaniappan Chidambaram’s first full-year Budget surpassed market expectations. Peak personal income tax and corporate tax for domestic companies were slashed. In a major boost for the IT sector, export profits were exempt from Minimum Alternate Tax. The FII investment limit in listed companies was raised, and dividends were made tax-free for the shareholder. The Budget also laid the foundation for the first round of disinvestment in PSUs, and announced in-principle approval of buyback of shares, subject to certain conditions. The peak customs duty rate was lowered, and so were duty rates on a wide range of imports. The media, industry and stock market were simply bowled over by what was dubbed as a ‘Dream Budget’.

But the celebrations were premature. On 30 March, a Sunday, the Congress party, without any warning, pulled the rug from under the United Front (UF) government. Tension between the Congress and the UF had been building for a while, but nobody saw matters reaching a flashpoint so very soon.

The phone lines of the kerb dealers – those who dealt in the illegal market – were ringing off the hook in Mumbai and Kolkata as panicky traders rushed to offload their outstanding buy positions. You could negotiate deals with them after market hours and then legitimize that trade by feeding the details into the stock exchange terminal the following morning. Most operators had been bullish on the market following the